# Willow Gardens

Source-backed analysis. Assumptions remain subject to diligence.

## Executive summary

As of 2026-08-31, Willow Gardens is a 64-unit multifamily property in San Antonio, TX. The current certified rent roll shows 48 active (in possession), 5 pending (not yet in possession), and 11 vacant suites. Underwriting follows the provided instructions: stabilized gross potential uses the current certified scheduled monthly rent ×12 before any Suite 001 amendment, 5% economic loss, and $350 per unit annual other income. Taxes, insurance, other operating expenses, management fee, and reserves per unit are applied per instruction. Valuation capitalizes NOI before reserves at 6.00%. Debt is sized to the tightest of 60% LTV, 1.25x DSCR at the greater of the note rate (6.90%) or the 6.00% floor, and 9.0% debt yield.

Result: UW EGI $1,309,175; UW NOI before reserves $890,640; UW NCF $871,440; value $14.84MM at 6.00% cap; maximum loan $8.82MM; net cash out after 1% fee, $45k closing, and $7.20MM payoff: approximately $1.49MM positive.

| Metric | Result |
|---|---|
| Total units | 64 |
| Active / Pending / Vacant | 48 / 5 / 11 |
| Underwritten EGI | $1,309,175 |
| UW NOI (before reserves) | $890,640 |
| UW NCF (after $300/u reserves) | $871,440 |
| Capitalization rate | 6.0000% |
| Capitalization value | $14,843,996 |
| Loan sizing rate (greater of 6.00% floor, 6.90% note) | 6.9000% |
| Max loan (min of LTV, DSCR, DY) | $8,821,131 |
| Net cash out | $1,487,920 |

## Property and unit mix

Certified roll identifies 64 suites: 22 Studios at 820 SF, 21 1BR at 940 SF, 21 2BR at 1,150 SF. Total NRA totals 61,930 SF. As certified, 48 are in possession (active), 5 are pending (not yet in possession), and 11 are vacant. Manager’s headline includes pending within leased, but diligence should treat pending separately for physical occupancy metrics.

| Type (A/B/C mapping) | Count | Area SF each | Monthly rent each (certified) |
|---|---|---|---|
| A = Studio | 22 | 820 | $1,575 |
| B = 1BR | 21 | 940 | $1,725 |
| C = 2BR | 21 | 1,150 | $2,000 |
| Total / weighted | 64 | 61,930 | $112,875/mo GPR |

## Lease and occupancy analysis

Certified as of 2026-08-31: 48 active, 5 pending (not possessed), 11 vacant. Physical unit occupancy is 48/64 = 75.0%. Area occupancy 46,560 SF / 61,930 SF ≈ 75.18%. Annual in-place contractual rent on active units equals 16 Studios, 16 1BR, 16 2BR at the certified monthly rates, which totals $1,017,600 per year. Suite 001 lease and manager correspondence confirm no amendment or concession affecting its $1,575 rent as of the evaluation date. Near-term rollover: none within the next 12 months; all expirations show 2029-08-31.

| Measure | Value |
|---|---|
| Unit occupancy | 0.7500 |
| Area occupancy | 0.7518 |
| Annual in-place rent (active only) | $1,017,600 |
| Selected roll date | 2026-08-31 |
| Suite 001 monthly rent | $1,575 |
| Near-term expirations (12 months) | 0 |

## Historical vs underwritten financials

T12 collections were $1,219,050. Reported T12 NOI was $839,790 after expenses including taxes $142,222, insurance $47,408, and other recurring operating expenses $189,630; roof replacement was capitalized and not included in repairs. Underwriting uses stabilized GPR per instruction: $112,875/mo × 12 = $1,354,500, less 5% economic loss and plus $350/unit other income to arrive at EGI $1,309,175. Management fee is 3% of EGI ($39,275). UW NOI before reserves is $890,640; reserves at $300/unit total $19,200 to reach UW NCF $871,440. NOI is capitalized at 6.00% for value. Sizing uses the greater of 6.90% note or 6.00% floor; DSCR and debt yield are on NCF.

| Line item | T12 actual | Underwritten |
|---|---|---|
| Collections / EGI | $1,219,050 | $1,309,175 |
| Real estate tax | $142,222 | $142,222 |

| Line item | T12 actual | Underwritten |
|---|---|---|
| Insurance | $47,408 | $47,408 |
| Other recurring opex | $189,630 | $189,630 |
| Management fee | n/a (implied) | $39,275 |
| NOI before reserves | $839,790 | $890,640 |
| Reserves | n/a | $19,200 |
| NCF after reserves | n/a | $871,440 |

## Debt sizing and sources/uses

Constraints: 60% LTV on cap value, 1.25x DSCR at 6.90%/30yr, 9% debt yield. Binding constraint is DSCR at 6.90%. Maximum loan $8.82MM. Sources/uses compute net cash out after 1% origination, $45k closing costs, and $7.20MM payoff, yielding approximately $1.49MM to the seller/sponsor.

| Item | Amount |
|---|---|
| Cap value (6.00% of UW NOI) | $14,843,996 |
| 60% LTV limit | $8,906,398 |
| DSCR limit (1.25x at 6.90%/30yr) | $8,821,131 |
| Debt yield limit (9%) | $9,682,664 |
| Maximum loan | $8,821,131 |
| Origination fee (1%) | $88,211 |
| Closing costs | $45,000 |
| Existing payoff | $7,200,000 |
| Net cash out | $1,487,920 |

## Risks and open diligence items

Pending counted as leased in manager headline; physical occupancy excludes pending for cash flow. Near-term rollover risk absent: no expirations within 12 months. Insurance evidence present: policy aggregate limit $2,000,000 effective 2026-07-01 to 2027-06-30. Capital improvements not in opex: roof replacement explicitly capital, so risk of capital-in-opex is absent in T12. No unsigned rent change proposals are included; Suite 001 shows no amendment or concession per correspondence. Sizing floor vs note: note 6.90% above 6.00% floor; floor is not binding. Broader legal/environmental/PCAs/title reviews are pending per the diligence status note.

| Risk | Assessment |
|---|---|
| Pending in occupancy headline | present |
| Near-term rollover (12 months) | absent |
| Missing insurance evidence | absent |
| Capital included in opex | absent |
| Unsigned rent change in packet | absent |
| Sizing floor binding | absent |
| Refinance shortfall at max loan | absent |

## Source notes

Key references: rent-roll-certified.xlsx (B2 date; A5:G68 detail), rent-roll-archive.xlsx (earlier baseline), lease-001.pdf (Suite 001 $1,575, 820 SF, 2029-08-31), lease-correspondence.pdf (no amendments or concessions as of 2026-08-31), operating-statement.pdf (T12, taxes, insurance, other opex, NOI), insurance.pdf (policy aggregate limit), manager-cover.pdf (A/B/C mapping and occupancy headline), underwriting-instructions.pdf (underwriting methodology and loan sizing parameters). The workbook includes a Sources sheet registering all citations.